DEAL INTELLIGENCE

GO Residential REIT's $109M Crown Heights Buy Shows Basis Is the Only Signal That Matters

The deal reveals how institutional capital is pricing Brooklyn multifamily: not on story, but on entry basis and tax shield.

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A source-grounded Light Tower Insight. The complete note follows.

The most revealing number in GO Residential REIT’s $109 million acquisition of an 81 percent managing interest in 409 Eastern Parkway is not the price. It is the 19 percent stake the sellers kept.

Adam America Real Estate did not exit. It retained a minority position in the 186-unit Crown Heights building. That is not a clean sale. It is a capital-stack compromise: the seller took liquidity without fully marking the asset to a new market-clearing price, and the buyer gained control without having to underwrite the entire risk of the basis.

The transaction, recorded July 20 after a March announcement, gives GO control of 197,395 square feet of built space and three ground-floor retail units. The sellers—FBE Limited, Adam America, and Zev Marmurstein—transferred an 81 percent managing interest. Adam America stays in as a 19 percent limited partner.

That structure matters because it reveals the tension underneath the headline. GO is not buying a fully repriced asset. It is buying control at a basis that the seller was willing to accept for liquidity, but not so low that the seller was willing to walk away entirely. The retained stake is a signal that both sides see the current valuation as a floor, not a ceiling.

The building’s tax exemption reinforces that reading. The property benefits from the now-sunsetted 421-a program, with an exemption that took effect in 2020 and runs through 2056. That is a 30-year tax shield. For a buyer underwriting stabilized cash flow in a market where operating expenses and property taxes are rising faster than rents, a locked-in tax benefit is a structural advantage that compounds over time.

GO’s CEO Joshua Gotlib framed the acquisition in terms of Brooklyn’s demographic and commercial expansion. That is the public narrative. The private underwriting logic is narrower: the REIT is buying a basis that works today, not a story about tomorrow. The 421-a exemption protects the income statement. The retained seller stake limits the downside risk. The 186 units provide scale in a submarket where new supply is constrained by zoning and construction costs.

GO has been active this year. It acquired 350 West 43rd Street, 411 West 35th Street, and 444 West 35th Street for a combined $380.5 million. It is under contract for the 209-unit residential portion of 7 Dey Street in the Financial District. The Crown Heights deal brings its portfolio to 2,731 units, a 7 percent increase from the end of June.

That pace suggests GO has access to equity capital at a cost that allows it to compete for assets that other buyers cannot underwrite. The REIT structure gives it a permanent capital base, which is an advantage when debt is expensive and transaction volume is thin. GO is not dependent on a single lender or a quarterly fundraise. It can move when the basis clears.

The sellers' calculus is equally instructive. FBE Limited, Adam America, and Marmurstein developed or owned the building through the 421-a period. They are selling control at a time when refinancing a 2020-vintage asset would require new debt at rates that compress cash flow. Rather than face a maturity wall or a forced recapitalization, they sold a majority stake to a buyer with a lower cost of capital and retained a minority position that gives them upside if the asset performs.

That is not capitulation. It is a structured liquidity event that lets the sellers de-risk without fully exiting the basis.

For the market, the deal confirms that Brooklyn multifamily is trading, but only at prices that reflect the current cost of capital and the tax profile of the asset. Buildings without a 421-a exemption, or with a shorter remaining term, will trade at a wider discount. Buildings with a long tax shield and a credible sponsor will attract bids from REITs and institutional buyers who can hold through the rate cycle.

The open question is whether the 19 percent retained stake becomes a template for other transactions. If sellers are unwilling to accept a full mark-to-market but need liquidity, a partial sale with a retained interest may become the compromise structure that bridges the bid-ask gap. That would be a market signal worth watching: not a flood of distress, but a slow unwinding of ownership positions at prices that both sides can defend.

GO’s acquisition is not proof that Brooklyn multifamily is cheap. It is proof that the right basis, combined with a tax shield and a patient capital partner, can still clear. The retained stake is the detail that makes the deal credible.

SOURCES

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